EXECUTIVE SUMMARY

D2C Fashion Brand — Customer Retention & Promotional Sunset Strategy

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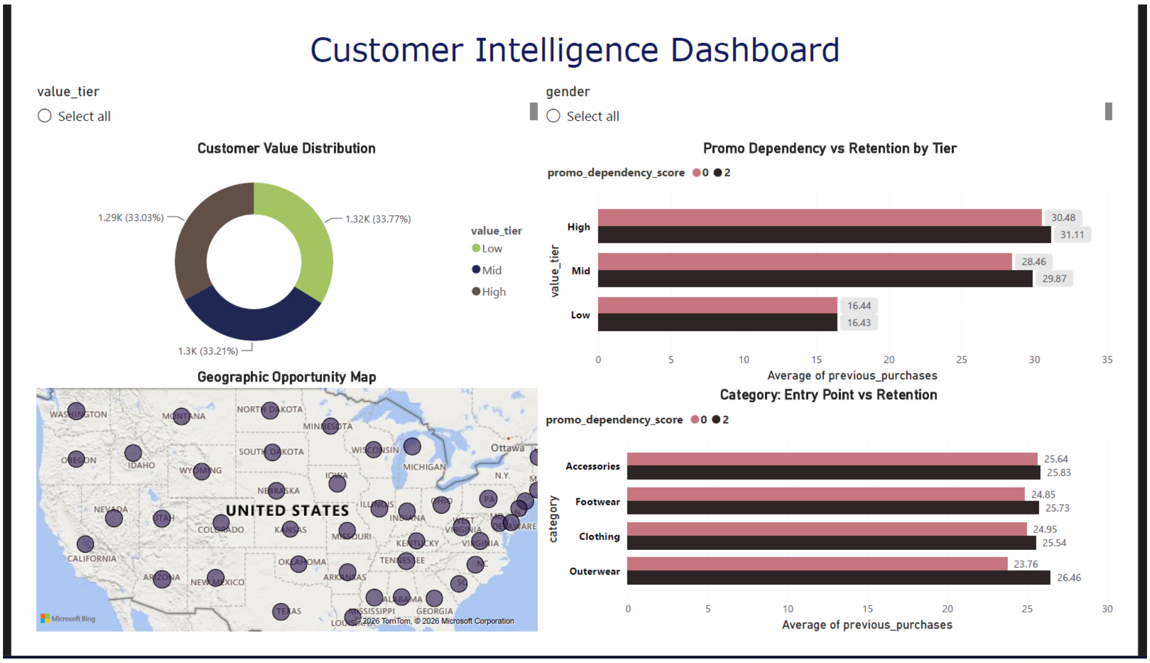
KEY FINDING

42.7% of revenue ($99.4K) depends on promotional discounts, yet discount-dependent customers show NO behavioral advantage over organic buyers. Both cohorts spend ~$60/transaction, but organic buyers (57.3% of revenue) require zero promotional spend to convert. The brand is leaving $2.9K–$3.8K in annual margin on the table through inefficient promotional allocation.

POWER BI INSIGHT: Promo Dependency vs. Retention Rate

The chart below demonstrates the core strategic thesis: **discounts do not build loyalty; they only shift margin**. Notice that organic buyers (red bars, promo score = 0) maintain equivalent or slightly higher retention rates compared to discount-dependent buyers (black bars, promo score = 2) across all value tiers.



STRATEGIC RECOMMENDATION

Implement a three-segment promotional sunset plan to migrate discount-dependent customers to organic buying while tolerating a planned 10% repeat-purchase loss (margin-protected scenario).

Segment 1: "Discount-Addicted Mid-Tier" (HIGHEST PRIORITY)

- **314 customers — $18.9K revenue**
- **Trigger:** 8+ purchases in 12 months, 3+ months since last discount
- **Timeline:** 16 weeks (gradual frequency reduction → full sunset)
- **Expected Margin Gain:** $2.4K annually
- **Risk:** Minimal (mid-tier, moderate loyalty proven)

Segment 2: "High-Value Discount Dependent" (MEDIUM PRIORITY)

- **715 customers — $42.1K revenue**
- **Trigger:** 10+ purchases in 12 months, 4+ months since last discount, satisfaction $\geq$3.8
- **Timeline:** 24 weeks (loyalty tier transition, gradual sunset)

- **Expected Margin Gain:** $2.3K annually
- **Risk:** Moderate (largest revenue base; execute carefully with value reframing)

Segment 3: "Low-Value Discount Hunters" (MONITOR, DO NOT SUNSET)

- **647 customers — $38.4K revenue**
- **Strategy:** Stop acquiring this profile; let natural churn occur
- **Rationale:** True price-sensitive segment; 15–20% churn likely if forced sunset
- **Better use of spend:** Shift to acquiring Organic Loyalist Premium customers

MARGIN IMPACT

Metric	Value
Current promo-dependent revenue	$99.4K
Post-sunset revenue (10% churn tolerance)	$89.5K
Forgone discount value recovered	$6.5K
Margin % improvement	+2.9–3.2 percentage points
Net annual margin gain	**$2.9K–$3.8K**

Timeline to full realization: 24 weeks (phased approach reduces execution risk).

IDEAL CUSTOMER PROFILE: "Organic Loyalist Premium"

Population: 586 customers (30.6% of value, 0 promo dependency)

Psychological Profile: Established, time-constrained professional; values quality over price; makes deliberate purchase decisions; loyal across multiple categories.

Acquisition Targeting

- **Audience:** Age 40–55, HHI $85K+, fashion/professional/home interests
- **Channels:** Facebook/Instagram lookalike, LinkedIn, Pinterest (avoid coupon/deal sites)
- **Creative:** Quality, seasonality, lifestyle—NOT discounts

Attribute	**Profile**
Age	44.3 years (prime earning years)
Gender	56% Female / 44% Male
Prior Purchases	40+ (highly established loyalty)
Avg Spend	$61.70 full-price per transaction
Satisfaction	4.23/5.0 (very high retention)
Purchase Frequency	Weekly + Bi-weekly (habitual shoppers)
Category Preference	Clothing ($62+ avg), Accessories, Footwear
Seasonal Peak	Fall/Winter (outerwear, clothing)
Shipping Preference	Fast options (2-Day, Next Day, Store Pickup)
Payment	Cash / Credit Card (method-agnostic)

- **Landing Page:** Full-price focus, loyalty benefits (free shipping, early access, returns), social proof

CRITICAL SUCCESS METRICS (Weekly Tracking)

1. **Repeat Purchase Rate** (target: ≥90% of baseline) — if <82%, activate reactivation protocol
2. **Avg Order Value** (expect +2–4% from removal of bargain hunters)
3. **Revenue per Customer** — final arbiter of segment success
4. **Churn Rate by Cohort** — must stay ≤10% for margin assumptions to hold
5. **New Organic Loyalist Acquisition Rate** — shows if replacement funnel is working

DECISION FRAMEWORK

If margin protection is the priority (current posture): Implement full sunset plan for Segments 1 & 2. Expected outcome: $2.9K–$3.8K margin gain within 6 months.

If churn risk is unacceptable: Pause Segment 2 sunset; proceed only with Segment 1 (lower execution risk, $2.4K gain). This is still significant margin recovery.

If growth is suddenly prioritized: Halt sunset plan immediately and reinvest in Organic Loyalist acquisition (highest CLV, no promotional overhead).

BOTTOM LINE

The brand has a **clear, data-backed path to $2.9K–$3.8K annual margin improvement** without sacrificing the customer base. By targeting the right segments with the right timelines and tracking the right metrics, promotional sunset is not a risk—it's a **margin-positive growth lever**.

The choice is now deliberate: continue optimizing for volume with discounts, or build a sustainable margin business with quality-focused loyalty.